

Now that you know about customer development and testing ideas, let's sharpen our teeth with a first exercise on how to test a business model or value proposition hypothesis.

Exercise:

On January 27, 2010, Steve Jobs presented the iPad for the very first time on stage. At that very moment, Alex was running a business model training with Hortis, a software company in Geneva specialized in iOS development. Naturally, the idea of a business model app for the iPad came up.

Yet, before starting to spend money on the development of an app, Alex and his team, which were in close contact with Steve Blank, decided to test two main hypotheses that would allow them to build a successful business model.

The hypotheses were:

- **H1** - People are interested in using an iPad app to sketch out business models digitally.
- **H2** - Buyers would be willing to pay approximately \$29 for such an app.

Take five minutes to come up with at least 10 different ways to test the above hypotheses with a maximum budget of \$1,000 before spending any time and energy on software development.